

Tentative Rulings for Department 501

Begin at the next page

(03)

Tentative Ruling

Re: ***MFRG Contractors, Inc. v. David A. Bush, Inc.***
Superior Court Case No. 23CECG00897

Hearing Date: September 16, 2026 (Dept. 501)

Motion: Plaintiff's Motion for Summary Judgment, or in the Alternative Summary Adjudication of the Individual Causes of Action in the Complaint and Cross-Complaint

Tentative Ruling:

To deny plaintiff's motion for summary judgment of the entire complaint and cross-complaint. To deny summary adjudication of the individual claims in the plaintiff's complaint. To grant summary adjudication as to the first and second cross-claims for intentional and negligent misrepresentation, as well as the prayer for punitive damages. To deny the motion for summary adjudication of the third cross-claim for breach of contract. (Code Civ. Proc., § 437c.)

Explanation:

Plaintiff MFRG moves for summary judgment of its entire complaint, or in the alternative summary adjudication of each of its claims, contending that there are no disputed facts with regard to whether it is entitled to payment for its work and materials supplied on the subcontract. MFRG also contends that, because the subject project was a public works project, it is entitled to enforce the stop payment notice and recovery on the public works payment bond. Furthermore, MFRG contends that defendants cannot prevail on their cross-complaint, which alleges claims for fraud, breach of contract, and punitive damages, because defendants did not rely on any misrepresentations by plaintiffs and did not incur any damages as a result of any reliance.

First, with regard to plaintiff's motion for summary adjudication of its own affirmative claims for payment based on the breach of the subcontract, common counts, stop payment notice, and payment bond, there does not appear to be any real dispute that MFRG entered into a subcontract with defendants for provision of materials and services to the project, and that MFRG did in fact provide materials and services under the contract. (Plaintiff's Undisputed Fact Nos. 1-3.)¹ However, there is a dispute about whether MFRG's invoices are accurate and whether it is entitled to the full amount that it has requested. Defendants contend that plaintiff failed to provide necessary contract documents and that its invoices included charges for untimely, unapproved, and overstated change orders. (Michael R. Johnson decl., ¶¶ 10-32; Bush decl., ¶ 4.)

¹ Defendants object to the format of the plaintiff's separate statement, contending that it does not comply with the mandatory two-column format under Rule of Court 3.1350, as it is divided into three columns rather than two. The court intends to overrule the objection, as the separate statement is substantially compliant with the Rules of Court even if is technically not formatted correctly.

Defendants concede that they owe about \$330,000 on the subcontract (Opposition, p. 2:28), but dispute that they owe the full requested amount of \$598,000. Therefore, since there are disputed issues of material fact with regard to the amounts owed on the subcontract, the court intends to deny the plaintiff's motion for summary judgment as to the entire complaint, as well as the motion for summary adjudication of plaintiff's individual affirmative claims for payment.

On the other hand, the court intends to grant summary adjudication of defendants' cross-claims based on intentional fraud and negligent misrepresentation. Plaintiff argues that defendants cannot prove their fraud claims because defendants clearly did not rely on any representations by plaintiff and they were not damaged as a result of such reliance. Plaintiff points out that the fraud claims are based on several change order requests (CORs) that plaintiff submitted. However, defendants did not accept the CORs. Instead, they disputed them and refused to pay them. (Plaintiff's UMF Nos. 13-15, 20-22, 43-47.) Therefore, plaintiff concludes that defendants cannot prove that they relied on the CORs and that they were damaged by them, so they cannot prevail on their fraud claims.

"The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.'" (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638, internal citations omitted.) Likewise, "[t]he elements of negligent misrepresentation are '(1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage.'" (*National Union Fire Ins. Co. of Pittsburgh, PA v. Cambridge Integrated Services Group, Inc.* (2009) 171 Cal.App.4th 35, 50, citation omitted.)

Here, defendants cannot show that they justifiably relied on plaintiff's CORs or that they suffered damage as a result of their reliance, because they disputed the change orders and refused to pay them. (UMF Nos. 15, 20-22, 27-38.) Thus, defendants cannot prove the essential elements of their fraud claims, as they never relied on plaintiff's representations in the change orders and they did not pay plaintiff any money based on the CORs. Consequently, plaintiff has shown that it is entitled to summary adjudication of the intentional fraud and negligent misrepresentation cross-claims.

While defendants argue that they were damaged by plaintiff's allegedly false and fraudulent requests for payment because the project has been delayed, their reputation suffered, and defendants had to engage in litigation, these damages were not caused by defendants' reliance on plaintiff's statements in the CORs. In fact, defendants do not dispute that they challenged the validity of the CORs or that they refused to pay them. Their refusal to pay the CORs led to project delays and litigation, but any such damage was not caused by reliance on plaintiff's CORs, so it is not a basis for a fraud claim. Likewise, any harm to defendants' reputation was not a result of their reliance on plaintiff's allegedly false CORs. Therefore, the court intends to grant summary adjudication of the cross-claims for intentional and negligent misrepresentation in favor of plaintiff.

Next, plaintiff moves for summary adjudication of the cross-claim for breach of contract, again arguing that defendants cannot prevail on their claim because they

cannot show that they were damaged by the plaintiff's CORs because they never paid plaintiff for its materials and services. In fact, plaintiff points out that defendants have alleged in their cross-complaint that they refused to pay the CORs because they were untimely or included improper and inflated amounts. (UMF Nos. 42, 51.) Plaintiff contends that submission of the change orders was not, in itself, a breach of the subcontract. Nor was plaintiff's alleged refusal to provide lien releases and closeout paperwork necessarily a breach. Therefore, plaintiff concludes that defendants cannot prove the essential elements of breach and damages, so the court should grant summary adjudication of the breach of contract cross-claim.

However, defendants have raised triable issues of material fact with regard to whether plaintiff breached the subcontract by submitting untimely change order requests and failed to notify the agency of any delays within five days. (Michael R. Johnson decl., ¶¶ 12, 14, and Exhibits 9 and 11 thereto.) According to defendants, under the terms of the subcontract, plaintiff had to provide written notice of any delays within five days of identifying the delay, and also had to provide written notice of any proposed change orders within seven days of discovery of the facts giving rise to the request. (Subcontract, ADD 5, Articles 47(c) and 52(b).) Plaintiff was also required to submit a final waiver of lien for its work, as well as releases of liens from all subcontractors and materialmen before being paid. (ADD 5, Article 50(h).) Defendants contend that plaintiff failed to provide final lien releases, so it was not entitled to payment. (Michael Johnson decl., ¶¶ 22, 23, 27, 28, and Exhibits 19, 20, 24, 25 thereto.) Defendants also claim to have been damaged by plaintiff's refusal to provide lien releases and other closing documents, which have forced defendants to keep the project open until the disputes are resolved. (Bush decl., ¶¶ 4, 5.)

Therefore, there are triable issues of fact with regard to whether plaintiff breached the subcontract by submitting late change orders and refusing to provide lien releases as required under the agreement, which resulted in project delays and related damages to defendants. As a result, the court intends to deny summary adjudication of the breach of contract cross-claim.

Plaintiff also seeks summary adjudication of the fraud and punitive damage claims to the extent that they are alleged against Jerry Mikolajczyk individually, contending that there is no evidence to show that defendants relied on any of the allegedly false representations or that Mikolajczyk is guilty of fraud, malice, or oppression necessary to support a punitive damage claim. (Civil Code, § 3294.) As discussed above, the undisputed facts show that defendants did not rely on any false statements made by plaintiff or Mikolajczyk or pay any money to them as a result of the statements. While defendants vigorously contend that Mikolajczyk made false representations to them when he submitted the change orders, they do not deny that they questioned the change orders and refused to pay them, so they did not rely on the CORs and they were not injured by any reliance. Therefore, plaintiff has shown that it is entitled to summary adjudication of the fraud claims alleged against Mikolajczyk, as well as the prayer for punitive damages against him.

Finally, the court intends to grant the motion for summary adjudication of the prayer for punitive damages against plaintiff MFRG, as the undisputed facts show that defendants did not rely on plaintiff's alleged misrepresentations or suffer damages from their reliance on the representations. Without evidence that plaintiff acted with fraud, oppression, or malice, defendants cannot prevail on their punitive damage prayer. (Civil

Code, § 3294.) Therefore, the court intends to grant summary adjudication of the prayer for punitive damages in the cross-complaint.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Tentative Ruling

Issued By: KCK **on** 09/15/26
(Judge's initials) (Date)